1. Business Finance

1.1. Why does a business require finance?

- To buy machinery, capital equipment while set-up of the business. It is called start-up capital
- To fund its day-to-day expenditure. It is called working capital
- While business expansion
- Needed to merge/acquire other businesses
- Unforeseen expenses and difficulties
- Fund research and development

1.2. Types of Expenditure

Capital expenditure

- Long term spending (more than one year) like purchase of assets

Revenue expenditure

- Short term, day-to-day expenditure like wages, salaries, insurance

1.3. Working Capital

Start up capital

Finance the founder of the business/entrepreneur requires in order to purchase necessary factors of production to set up their business.

Working capital

- It is the finance required to pay for day-to-day expenses
- It is the lifeblood of the business
- Without sufficient working capital, a business will become illiquid (cannot repay its short-term debts)
- Working capital = current assets - current liabilities

How much working capital is required?

- Too high of working capital leads to opportunity cost of too much capital being tied up and can be used elsewhere
- Working capital requirement of a business is determined by its working capital cycle
- Longer the cycle, greater the amount required

Managing working capital

- Maintain smaller inventory level to minimize costs and storage needs.
- Track sales and inventory via computer system, and automate reordering.
- Prevent losses from damages and wastage by efficient inventory handling and control.
- Reduce working capital tied up in inventory by using Just in time production system.
- Ensure delivery of product is done as fast as possible to customers to speed up payment.

Businesses also have trade receivables and payables.

Trade payables can be managed by:

- Delay payments to suppliers to lengthen the credit period.
- Choose suppliers that offer credit terms, preferably the one who offers the longest window.

Trade receivables can be managed by:

- Sell products only by cash payment to avoid credit risks.
- Decrease the credit period offered to customers to improve cash flow.

1.4. Internal sources

1. Profits retained in the business

- The retained earnings of a business can be used as a source of finance to fund expansion, purchase of assets
- These do not have to be repaid and are a permanent source of finance
- But they may not be enough and new businesses may not have this option

2. Sale of assets

- Assets which are no longer needed/fully employed can be sold in order to get funds
- It will help raise permanent capital for the business
- They can be sold to a leasing company and leased back for business use. But, through this fixed cost will rise
- Also, these assets could have been used as collateral or be used during future expansions

3. Reductions in working capital

- Lowering the amount tied up in working capital may free up some money to be used elsewhere
- It will help reduce the opportunity cost of tying up money in current assets like inventories and trade receivables
- But this may negatively affect the company's liquidity position, affecting stakeholders like potential investors, bankers, etc

1.5. External sources

Short term sources

1. Bank overdrafts

- Most flexible
- The bank allows the business to overdraw its account
- High interest rates
- Bank can ask the business to repay anytime

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2. Trade credit

- The business can lower the credit period provided to trade receivables and ask for greater period from trade payable
- Customers may switch to competitors if they provide greater credit period
- Suppliers may not provide discounts

3. Debt factoring

- This involves selling of a company's trade receivable claims to a debt factor for immediate money
- Lowers risk for the business
- Full amount is not given

1.6. Medium-term sources

1. Hire purchase

- It is a way of purchasing an asset for credit where money is paid in instalments over the time
- It helps avoid large initial cash payment
- Ownership of asset is obtained

2. Leasing

- It allows a business to obtain the use of an equipment by paying a fixed rental charge, instead of buying the asset
- Leasing company is responsible for maintenance and repairs
- No ownership is gained, can't be used as collateral during bank loans

3. Medium-term bank loan

1.7. Long term sources

1. Long-term bank loans

- Maybe given for fixed/varying interest rates
- Fixed provide greater certainty but maybe more expensive
- Companies will have to provide collateral/security to obtain the loan
- They require a business plan and cash flow forecast

2. Debentures

- A company can issue bonds to potential investors and pay a fixed rate of interest for the life of the bond
- No collateral security is required

1.8. Sale of shares – equity finance

- Limited companies issue shares when first formed and use it to purchase necessary assets
- They can sell shares anytime required up to a limit of their authorised capital
- It is a method of permanent finance
- Way to sell shares:
  - Public issue by prospectus: company advertises its share sale and invites interested people to apply for them. It is very expensive
  - Arranging a placing of shares with institutional investors without the expense of a full public issue: this is done by the means of a rights issue. The short-term share price falls which reduce shareholders confidence

1.9. Debt or equity capital – evaluation

- Debt finance benefits:
  - Ownership is not diluted
  - No permanent increase in liabilities as the loans will be repaid
  - Lenders have no voting rights
  - Interest is paid before corporation tax
- Equity benefits:
  - Never needs to be repaid
  - Dividends must be paid whenever the business has enough profits

1.10. Other sources of long-term finance

1. Grants

- Grants may be given with certain conditions up on number of jobs, location, etc
- They do not need to be repaid

2. Venture capital

- It is the risk capital invested by wealthy individuals in business start-ups which have good profit potential but can't find other sources of finance
- Venture capitalists provide advice for the business owners
- But they may expect a part of ownership in the business

1.11. Finance for unincorporated businesses

- Unincorporated = sole trade & partnership
- Can not raise finance from the sale of shares
- Unsuccessful in raising finance through sale of debentures
- Sources of finance –
  - Overdrafts
  - Loans
  - Credit from suppliers
  - Borrow from friends and family
  - Own savings
  - Grants
  - Crowdfunding
  - Microfinance

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1.12. Microfinance

- Involves selling financial services to poor, low-income customers or small businesses who do not get finance from banks
- High interest rates

Crowd-funding

- Crowdfunding websites allow entrepreneurs to promote their business and encourage individuals to each invest a small amount
- Effective form of promotion
- Investors may expect a return on investment
- Investors, when the business is successful will receive: initial capital plus interest, equity stake in the business
- Must keep accurate records of thousands of investors
- Increased risks of idea being copied

1.13. Importance of business plan

- Business plan is a detailed document giving information about a business to convince external stakeholders to lend money to the business
- Helps gain loans and credit facilities
- Helps lower risks

1.14. Financial Stakeholders

	Rights	Responsibilities	Objectives
Shareholders	■ part ownership of the company in proportion to the number of shares owned ■ to attend the AGM and vote, e.g. on election of directors ■ to receive dividend as recommended by the board ■ to receive a share of the capital if the business is wound up after all debts have been paid	■ capital invested cannot be claimed back from the company except when it ceases trading	■ to receive an annual return on investment in shares – the dividend ■ to receive capital growth through an increase in share price ■ possibly, to influence company policy through pressure at the AGM
Banks	■ to receive interest payments as laid down in the loan or overdraft agreement ■ to be repaid before shareholders if the company is wound up	■ to check on business viability before loan or overdraft is agreed; this is both a responsibility to the bank's shareholders and to the business – advice to customers is an important responsibility	■ to make a profit from the loan ■ to receive repayment of capital at the end of the loan term ■ to establish a long-term relationship, of mutual benefit, with the business
Creditors	■ to receive payment as agreed ■ to be paid before shareholders in the event of the business being wound up ■ to attend creditors' meetings if the business is put into liquidation	■ to provide regular statements of amount owing and terms of repayment	■ to provide credit to encourage the business to purchase stock ■ to establish a relationship built on trust so that credit can be offered with confidence

1.15. Making the decisions – factors influencing finance choice

Choosing the right finance source is utmost important for long-term success. Costly or inflexible sources, or those that can be withdrawn quickly, can harm the business harshly. Finance managers must carefully evaluate options before making decisions. The factors influencing such decisions are the following:

Why finance is required and time period when it is needed	Costs
Avoid using long-term finance for short-term needs to minimize risk and cost.	No finance source is free to obtain, including internal finance, due to opportunity costs.
Use permanent capital, like issuing shares, for long-term expansion or research projects for long term finance.	Rising interest rates can increase the cost of loans.
Go for short-term finances to address immediate needs such as increasing inventory or paying creditors.	Listing a new public company in the Stock Exchange can incur high fees and promotional costs.
	Once equity finance has been raised. Dividends are not tax-deductible, unlike loan interest

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